

# STATE OF NEW YORK

8706--B

## IN SENATE

January 7, 2026

Introduced by Sen. HINCHEY -- read twice and ordered printed, and when printed to be committed to the Committee on Labor -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the labor law, in relation to requiring covered businesses to submit annual reports on the impact of artificial intelligence on hiring and the nature of artificial intelligence use

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The labor law is amended by adding a new section 201-j to  
2 read as follows:

3 § 201-j. Artificial intelligence impact assessments. 1. Definition.  
4 For purposes of this section, "covered business" shall mean a business  
5 entity doing business in the state and: (a) employs more than fifty  
6 people; or (b) is a publicly traded entity.

7 2. Reporting requirement. On or before March first of every year, a  
8 covered business shall report to the department regarding the impact of  
9 artificial intelligence on its hiring and the nature of its artificial  
10 intelligence use in the calendar year ending the preceding December  
11 thirty-first. Such report shall include:

12 (a) Employment data, including but not limited to:

13 (i) An estimate of the number of employees displaced, or whose hours  
14 have been reduced, due in full or in part to use of artificial intelli-  
15 gence;

16 (ii) An estimate of the number of employees hired, or whose hours have  
17 been increased, due in full or in part to use of artificial intelli-  
18 gence; and

19 (iii) An estimate of the number of positions previously filled that  
20 the covered business has decided not to fill due in full or in part to  
21 use of artificial intelligence; and

22 (b) Information on the nature of artificial intelligence usage,  
23 including but not limited to:

EXPLANATION--Matter in italics (underscored) is new; matter in brackets  
[-] is old law to be omitted.

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1 (i) Descriptions of the objectives of the use of artificial intelli-  
2 gence;

3 (ii) Information regarding any human oversight of artificial intelli-  
4 gence;

5 (iii) Information on the frequency and length of use of artificial  
6 intelligence;

7 (iv) Information on any use of artificial intelligence in relation to  
8 sensitive personal data, including storage and access protections  
9 related to use of artificial intelligence in relation to such personal  
10 data; and

11 (v) Measures in place for oversight, risk reduction, or other  
12 protections related to use of artificial intelligence.

13 3. Responsibilities of the department. The department shall develop  
14 standard reporting forms and processes for covered businesses to submit  
15 the reports required pursuant to subdivision two of this section. The  
16 department may develop additional reporting requirements related to the  
17 hiring and business impacts of utilization of artificial intelligence by  
18 covered businesses.

19 4. Annual report. (a) The department shall review the reports submit-  
20 ted by covered businesses pursuant to subdivision two of this section  
21 and shall prepare an annual report on the impact of artificial intelli-  
22 gence on hiring and the nature of artificial intelligence usage in the  
23 state based on the department's review of such reports submitted pursu-  
24 ant to subdivision two of this section.

25 (b) The department shall submit the report required pursuant to para-  
26 graph (a) of this subdivision to the governor, the temporary president  
27 of the senate, the minority leader of the senate, the speaker of the  
28 assembly, and the minority leader of the assembly within one hundred  
29 twenty days of the covered business reporting deadline established  
30 pursuant to subdivision two of this section. Such report shall be made  
31 publicly available on the department's website at the same time as such  
32 report is submitted to the governor and legislature.

33 (c) The report required pursuant to paragraph (a) of this subdivision  
34 shall include, but not be limited to, presentation of aggregate data  
35 regarding employment impacts, objectives, and implementation of artifi-  
36 cial intelligence by covered businesses, including analysis of such  
37 impacts by employment sector, geographic location, and business size.

38 5. Enforcement. (a) A covered business who fails to report pursuant to  
39 the requirements of this section shall be subject to a civil penalty of  
40 not more than five hundred dollars for each day such covered business  
41 remains in violation of such reporting requirements.

42 (b) Upon notice of a violation of this section, a covered business  
43 shall have ninety days to resolve such violation to the satisfaction of  
44 the commissioner. If the commissioner is satisfied that the violation  
45 has been cured within the ninety-day period, the commissioner shall  
46 waive or reduce the applicable penalties under this subdivision.

47 § 2. This act shall take effect immediately.